

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[Authorizations](#)

[Initial Recognition and Measurement](#)

[Subsequent Measurement](#)

[Derecognition](#)

[Presentation](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Definitions](#)

[Roles and Responsibilities](#)

POLICY NUMBER: **FP-FIN-022**

DEBT

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s (the "Company" or "Hilton") accounting for debt in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").



POLICY STATEMENT

This policy documents how the Company will evaluate most debt instruments that are entered into with third parties.

SCOPE

A debt instrument is an obligation that enables the Company to raise funds by promising to repay a lender in accordance with terms of a contract. Types of debt instruments include notes, bonds, certificates, mortgages, or other agreements between a lender and a borrower.

Equity instruments should carefully be evaluated to determine if the instrument meets the criteria to be classified as debt. If an equity instrument meets the criteria to be classified as debt, the instrument would be within the scope of this policy. The following are examples of equity instruments that should be classified as liabilities and are within the scope of this policy:

1. Mandatorily redeemable financial instruments, unless the redemption is required to occur only upon the liquidation or termination of the reporting entity¹.
2. Financial instruments other than a share that represents or are indexed to obligations to repurchase the issuer's equity shares by transferring assets².
3. Certain obligations to issue a variable number of shares, that at inception, the monetary value of the obligation is based on a fixed monetary amount, varies based on something other than the fair value of the issuer's equity shares or varies inversely to changes in the fair value of the issuer's equity shares³.

APPLICABILITY

This policy applies to all Finance personnel, as well as Legal and Treasury.

EXCLUSIONS/ EXCEPTIONS

This policy excludes intercompany debt transactions, non-consolidated debt transactions at joint ventures or other VIEs, and capital leases. Refer to **FP-FIN-004 – Cost and Equity Method Accounting Policy** and **FP-FIN-029 – Variable Interest Entity Accounting Policy** for guidance related to the accounting related to joint ventures or other VIEs. Additionally, refer to **FP-FIN-007 – Accounting for Leases – Lessee** for guidance related to the recognition and subsequent accounting for capital leases.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy must be notified if the Company or one of its ventures or similar entities:

- 1) Executes a new debt instrument.
- 2) Modifies or refinances an existing debt instrument.
- 3) Notifies the lender it intends to prepay or prepays an existing debt instrument prior to the maturity date— particularly in situations when the intention is to prepay a debt instrument after the balance sheet date but before issuance date of the consolidated financial statements.
- 4) Fails to comply with one of its debt covenants.
- 5) Obtains a legal release from being the primary obligor under a debt instrument and/or transfers assets to an irrevocable defeasance trust.

Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@hilton.com

INITIAL RECOGNITION AND MEASUREMENT

a. Evaluation of Debt Agreement

Upon entering into a debt transaction, Treasury will review all terms of the debt, and coordinate with Accounting Research & Policy to provide details of such debt agreements. Some debt agreements contain unusual terms or features which could affect the accounting or disclosure requirements. Examples of such features include but are not limited to the following:

¹ ASC 480-10-25-4, *Distinguishing Liabilities from Equity, Overall, Recognition*

² ASC 480-10-25-8 through 13, *Distinguishing Liabilities from Equity, Overall, Recognition*

³ ASC 480-10-25-14, *Distinguishing Liabilities from Equity, Overall, Recognition*

- **Embedded Derivatives:** Any terms that can result in a change in either the amount (increase or decrease) or timing (or both) of cash, other value flows (i.e. equity conversion), or settlements of debt. An embedded derivative could be required to be accounted for as a derivative instrument separate from the debt instrument if all of the following criteria are met⁴:
 - o The economic characteristics and risks of the embedded derivative are not clearly and closely related to the inherent economic characteristics and risks of the debt instrument, or host contract. For example, an interest rate floor within the debt instrument that alters the net payments that would be due would likely be considered clearly and closely related to the debt instrument if certain conditions do not exist⁵ and would not meet this criteria.
 - o The host contract including the embedded derivative is not remeasured at Fair Value ("FV").
 - o A separate instrument with the same terms as the embedded derivative would be considered a derivative instrument in and of itself.
- **Interest Rates:** The determination of the appropriate interest rate needs to be evaluated if the interest rate within the agreement is:
 - o Increasing – the rate increases upon the borrowers option to extend maturity date
 - o Not stated – no interest rate is stated explicitly within the agreement and must be implicitly calculated
 - o Unreasonable – the stated rate differs significantly from the Company's WACC or the stated face amount of the note is materially different from the current cash sales price for the same or similar items or from the market value of the note at the date of the transaction.
- **Paid-in-kind Interest:** Some debt instruments may require or permit the issuer to make coupon payments in the form of additional debt. With these instruments, instead of paying cash when each interest payment is due, the interest payment becomes additional debt, which will then begin to accrue interest expense at the same interest rate as the underlying debt instrument. This type of interest is typically referred to as paid-in-kind interest with the accrued interest and principal being paid at maturity.
- **Revolving Credit Arrangements:** A revolving credit arrangement that allows the debtor to borrow up to a specified credit limit without having to reapply for a loan each time the debtor needs cash. As the debtor repays the money borrowed, it becomes available to be borrowed again. Careful consideration should be given when determining the classification (current versus long-term) of the revolving credit arrangement.

The guidance which follows assumes that none of the features discussed above are included in the debt agreement.

b. Proceeds

The proceeds received shall be recorded as cash.

c. Initial Liability

The initial issuance of debt is a balance sheet transaction only. The initial debt liability shall be recorded at the stated principal balance. If the stated interest rate is not equal to the market rate, the Company will also recognize a separate discount or premium (discussed below). Refer to the **Presentation** section, for discussion regarding the classification of the liability within the balance sheet.

d. Discount or Premium

Any difference between the present value of the future cash outflows related to the debt instrument (inclusive of interest payments and principal repayments) discounted at the market rate of interest and the contractual rate of interest is recorded as a discount (contractual rate of interest is greater than the market rate of interest) or premium (contractual rate of interest is less than the market rate of interest)⁶. Refer to the **Presentation** section, for the classification of the discount or premium on the balance sheet.

e. Debt Issuance Costs

⁴ ASC 815-15-25-1, Derivatives and Hedging, Embedded Derivatives, Recognition

⁵ ASC 815-15-25-26, Derivatives and Hedging, Embedded Derivatives, Recognition

⁶ ASC 835-30-55-5, Interest, Imputation of Interest, Implementation Guidance and Illustrations

Costs incurred associated with obtaining the debt instrument (i.e. bank administrative fees, attorney's fees, rating agency fees) generally are deferred and recorded as a contra liability within the balance sheet.⁷

Debt issuance costs associated with revolving credit arrangements generally are deferred and recorded as an asset within the balance sheet.⁸

Refer to the **Presentation** section, for the classification of the debt issuance cost on the balance sheet.

SUBSEQUENT MEASUREMENT

a. Interest Expense (Effective Interest Method)

Interest expense is calculated using the effective interest method which results in the recognition of interest expense equal to a constant rate of interest that is applied to the carrying amount of the debt at the beginning of each period⁹. In applying the effective interest method, consideration should be given to market interest rate (which may differ from the stated interest rate), changes in interest rates throughout the debt term, whether interest is paid in kind (refer to discussion in **Initial Recognition and Measurement** section above), and the total term of the debt (including any extension options). Please refer to Illustration 2 and 3 for examples of the effective interest method which illustrate a few of the above factors.

The difference between the interest expense calculated using the market rate of interest and the interest expense calculated using the contractual rate of interest on the outstanding amount of the debt is the amount of periodic amortization of the discount or premium¹⁰. Refer to **Presentation** section, for the classification of the amortization expense of the discount or premium in the income statement.

Illustration 2 – Effective Interest Method

Facts:

ABC Company issues a bond with a par value of \$100,000 for a one year term with a 10% coupon rate. ABC Company is required pay the accrued interest and principal of the bond upon maturity. The bond was issued for a discount of \$5,000 dollars, therefore the total cash received from issuance was \$95,000.

Analysis:

The effective interest rate of 16% for the bond is calculated as follows:

Total cash paid (to lender)	\$110,000
Less: Total cash received at issuance	95,000
Total Interest Payments	15,000
Divided by total cash received	95,000
Effective interest rate	15.7%

At the end of the first month, the following calculation would be used to determine the interest expense:

Total Interest Expense (Carrying Amount of Debt (\$95k) X effective interest rate (15.7%)/12)	\$1,243
Less: Total Interest Payable (Face Value of Debt (\$100k) X stated interest rate (10%)/12)	833
Amortization of Discount/Premium	410

The following entry would be recorded at the end of the first month:

DR: Interest Expense	\$1,243
CR: Discount	\$410
CR: Interest Payable	\$833

Illustration 3 – Effective Interest Method

Facts:

⁷ ASC 835-30-45-1A, *Interest, Imputation Interest, Other Presentation Matters*
⁸ ASC 835-30-S45-1, *Interest, Imputation of Interest, Other Presentation Matters*
⁹ ASC 835-30-35-2, *Interest, Imputation of Interest, Subsequent Measurement*
¹⁰ ASC 835-30-35-3, *Interest, Imputation of Interest, Subsequent Measurement*

ABC Company issues a bond with a par value of \$100,000 for a one year term with a 10% coupon rate, with the option to renew the bond for an additional year with a 12% coupon rate. ABC Company is required to pay interest monthly and the principal of the bond upon maturity. The bond was issued at par value, therefore the total cash received from issuance was \$100,000.

ABC Company plans to exercise the right to extend the bond for the additional one year term.

Analysis:

The effective interest rate of 11% for the bond is calculated as follows:

Total cash paid (to lender)	\$122,000
Less: Total cash received at issuance	100,000
Total Interest Payments	22,000
Divided by total cash received	100,000
Cumulative interest rate over the 2-year period	22.0%
Effective annual interest rate	11.0%

At the end of the first month, the following calculation would be used to determine the interest expense:

Total Interest Expense (Carrying Amount of Debt (\$100k) X effective interest rate (11.0%)/12)	\$917
Less: Total Interest Payable (Face Value of Debt (\$100k) X stated interest rate (10%)/12)	833
Amortization of Discount/Premium	83

The following entry would be recorded at the end of the first month:

DR: Interest Expense	\$917	
CR: Discount		\$83
CR: Interest Payable		\$833

b. Debt Issuance Costs

Debt issuance costs are also recognized as additional interest expense over the term of the debt instrument using the effective interest method¹¹. Note that debt issuance costs for revolving credit arrangements are amortized ratably over the term of the arrangement rather than using the effective interest rate method⁸.

c. Troubled Debt Restructuring (consultation required)

Modifications to existing debt agreements must be evaluated to determine if they represent troubled debt restructurings. A restructuring of a debt constitutes a troubled debt restructuring for the Company (the debtor) if the creditor for economic or legal reasons related to the Company's financial difficulties grants a concession to the Company that it would not otherwise consider¹². Examples of concessions include: (1) a transfer of assets from the Company to the creditor in full satisfaction of a debt, (2) an issuance of an equity interest to the creditor by the Company in full satisfaction of a debt, (3) a modification of terms of a debt (i.e. lowers the interest rate or changes the payment terms); or (4) some combination thereof (i.e., a transfer of some assets and some equity interest in partial satisfaction, combined with a modification of the terms of the debt).

d. Modification (consultation required)

When the company enters into a modification or exchange of a debt instrument, the resulting cash flows can be affected by changes in principal amounts, interest rates, or maturity. They can also be affected by fees exchanged between the debtor and creditor to effect changes in the terms of the debt agreement (i.e. debt covenants, recourse features).

The present value of the cash flows under the terms of the new agreement shall be compared to the present value of the cash flows under the terms of the old agreement using the effective interest rate at the time of original debt issuance. If the cash flows are at least 10% different, the modification should be accounted for as an extinguishment of the existing debt (see above) and the issuance of new debt¹³. The FV of the new debt would be used to calculate the gain/loss on extinguishment¹⁴. Any remaining discounts or premiums, and debt issuance costs related to the extinguished debt that have not been fully amortized should be expensed and written off. See **Initial Recognition and Measurement** section for the accounting treatment of discounts or premiums and debt issuance costs related to the new debt.

¹¹ ASC 835-30-45-3, Interest, Imputation of Interest, Other Presentation Matters

¹² ASC 470-60-15-5, Debt, Troubled Debt Restructurings by Debtors, Scope and Scope Exceptions

¹³ ASC 470-50-40-10, Debt, Modifications and Extinguishments, Derecognition

¹⁴ ASC 470-50-40-13, Debt, Modifications and Extinguishments, Derecognition

If it is determined that the original and new debt instruments are not substantially different (i.e. the present value of the cash flows is less than 10%), then a new effective interest rate shall be calculated based on the carrying amount of the original debt instrument, and the revised cash flows¹⁵. Any discounts or premiums, and debt issuance costs for both the pre-modified debt and post-modified debt should be accounted for in accordance with the effective interest method as described in **Subsequent Measurement** section.

DERECOGNITION

a. Extinguishment of Debt at Maturity

When debt is settled at maturity or contractual principal payments are made, there should be no income statement impact, other than the final calculation of interest expense. The debt liability and accrued interest payable liabilities will be relieved (debited) and the cash paid to extinguish the liability will be credited. See example below.

Illustration 4 – Contractual Principal Payment

Fact:

ABC Company currently has debt outstanding of \$100 and a related accrued interest payable of \$10 that has become due. ABC Company has already recorded the final interest expense calculations which resulted in the discount/premium balance amortized to zero. ABC Company settled the outstanding debt and accrued interest payable.

Conclusion:

The entry to record the final payment to settle the debt would be as follows:

DR: Current Portion of LT Debt	\$100	
DR: Interest Payable	\$ 10	
CR: Cash		\$110

Note that the full principal of the debt being extinguished shall be classified as a current liability. Additionally, the discount/premium was fully amortized through the final interest expense entry recorded.

b. Extinguishment of debt prior to maturity (consultation required)

The Company may settle a liability by transferring assets to the creditor which relieves the Company of the debt obligation. When debt is extinguished early (settled prior to its stated maturity date), a difference between the **reacquisition price of debt** and the net carrying amount of the extinguished debt is recognized in the period of extinguishment as losses or gains and identified as a separate item within the statement of operations¹⁶. Any remaining discounts or premiums, and debt issuance costs related to the extinguished debt that have not been fully amortized should be expensed and written off.

c. Defeasance (consultation required)

- **Legal Defeasance:** The Company may obtain a legal release (either judicially or by the creditor) from being the primary obligor under the debt arrangement. If the release is unconditional, the legal defeasance is treated as an extinguishment of the liability in accordance with the early extinguishment discussion above¹⁷. Any remaining discounts or premiums, and debt issuance costs related to the extinguished debt that have not been fully amortized should be expensed and written off.
- **In-substance Defeasance:** The Company transfers essentially risk-free assets to an irrevocable defeasance trust and the cash flows from those assets approximate the scheduled interest and principal payments of the debt being extinguished. An in-substance defeasance transaction does not meet the derecognition criteria for either the liability or the asset¹⁸.

PRESENTATION

a. Compensating Balance Arrangements

For certain debt instruments the Company may be required to maintain a portion of the debt proceeds or maintain a time deposit with the lending institute to support the debt arrangement. These deposits are referred to as a compensating balance and may

¹⁵ ASC 470-50-40-14, Debt, Modifications and Extinguishments, Derecognition
¹⁶ ASC 470-50-40-2, Debt, Modifications and Extinguishments, Derecognition
¹⁷ ASC 405-20-55-9, Liabilities, Extinguishments of Liabilities, Implementation Guidance and Illustrations
¹⁸ ASC 405-20-55-4, Liabilities, Extinguishments of Liabilities, Implementation Guidance and Illustrations

be formalized as part of the debt instrument, a separate supplemental agreement or part of an oral agreement not formally documented. Any proceeds or cash that is part of a compensating balance should be classified as restricted cash. Please refer to **FP-FIN-008 – Cash and Cash Equivalents Accounting Policy** for details on how to account for restricted cash.

b. Debt Liability (consultation may be required)

Generally, Hilton recognizes debt liabilities within our “Long-term debt” line item on the balance sheet for the principal balance that is not due within the next 12 months and within the “Current maturities of long-term debt” line item on the balance sheet for the principal balance that is due within the next 12 months¹⁹.

Certain factors could result in debt liabilities being classified as current or non-current²⁰, regardless of the stated maturity date. This determination depends on various facts and circumstances. Factors that may affect debt instrument classification (not all inclusive) are as follows:

- Notification to a lender prior to the balance sheet date the Company intends to make prepayment on the debt instrument.
- Due on demand loan agreements.
- Long-term debt that is callable by the creditor within 12 months or upon contingent events, such as covenant violations.
- Convertible or contingently convertible debt.
- Short-term obligations that are expect to be refinanced on a long-term basis.
- Liabilities that will be paid through the use of noncurrent assets or through the incurrence of long-term obligations.

c. Discount or Premium

A discount or premium is not an asset or liability separable from the associated debt instrument. Rather, the premium or discount is reported on the balance sheet as an adjustment to the carrying amount of the underlying debt liability (refer to discussion above) and is not presented as a deferred charge or deferred credit²¹. Additionally, the amortization of the discount or premium are recognized within the “Interest expense” line item on the Statement of Operations¹¹.

d. Debt Issuance Costs

Debt issuance costs are not an asset separable from the associated debt instrument. Rather, the debt issuance costs are reported on the balance sheet as an adjustment to the carrying amount of the underlying debt liability (refer to discussion above) and are not presented as a deferred charge²¹. The only exception to this is if the debt issuance costs were incurred associated with the issuance of a line of credit. These costs should be presented as a separate asset from the associated line of credit liability⁸. Regardless of the balance sheet classification debt issuance costs should be classified (i.e., short-term or long-term) in a manner consistent with the related debt.

Amortization of debt issuance costs are recognized within our “Interest expense” line item on our statement of operations¹¹.

e. Consolidated Statements of Cash Flows

Cash payments related to the repayment of principal and debt issuance costs are presented within the financing activities section of the statement of cash flows²². Interest cash payments are presented within the operating activities section of the statement of cash²³.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the **authorization** section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Receipt of funds from debt issuance (net of	- Cash (<i>debit</i>); - Long-term debt (<i>credit</i>)	- N/A	- Financing Activities (Inflow)

¹⁹ ASC 210-10-45-6, Balance Sheet, Overall, Other Presentation Matters
²⁰ ASC 470-10-45, Debt, Overall, Other Presentation Matters
²¹ ASC 835-30-45-1A, Interest, Imputation of Interest, Other Presentation Matters
²² ASC 230-10-45-15, Statement of Cash Flow, Overall, Other Presentation Matters
²³ ASC 230-10-45-17, Statement of Cash Flows, Overall, Other Presentation Matters

any premium or discount) (consultation required)			
Incur debt issuance costs (not an issuance of a line of credit)	- Cash (credit); - Long-term debt (debit)	- N/A	- Financing Activities (Outflow)
Incur debt issuance costs (issuance of a line of credit)	- Cash (credit); - Other Assets (debit)	- N/A	- Financing Activities(Outflow)
Amortization of premium	- Long-term debt (debit)	- Interest expense (credit)	- Operating Activities (reconciling item to net income)
Amortization of discount and debt issuance costs (not an issuance of a line of credit)	- Long-term debt (credit)	- Interest expense (debit)	- Operating Activities (reconciling item to net income)
Amortization debt issuance costs (issuance of a line of credit)	- Other Assets (credit)	- Interest expense (debit)	- Operating Activities (reconciling item to net income)
Interest payments (not paid-in-kind)	- Cash (credit)	- Interest expense (debit)	- Operating Activities (reconciling item to net income)
Interest payments (paid-in-kind)	- Long-term debt (credit)	- Interest expense (debit)	- Operating Activities (reconciling item to net income)
Principal payments	- Cash (credit); - Long-term debt (debit)	- N/A	- Financing (Outflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-004 – Cost and Equity Method Accounting Policy](#)

[FP-FIN-007 – Leases Accounting Policy](#)

[FP-FIN-008 – Cash and Cash Equivalents Accounting Policy](#)

[FP-FIN-014 – Fair Value Accounting](#)

[FP-FIN-029 – Variable Interest and Voting Interest Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Debt	A receivable or payable (collectively referred to as debt) represents a contractual right to receive money or a contractual obligation to pay money on demand or on fixed or determinable dates that is already included as an asset or liability in the creditor's or debtor's balance sheet at the time of the restructuring.
Reacquisition Price of Debt	The amount paid on extinguishment, including a call premium and miscellaneous costs of reacquisition. If extinguishment is achieved by a direct exchange of new securities, the reacquisition price is the total present value of the new securities.

Troubled Debt Restructuring	A restructuring of a debt in which the creditor for economic or legal reasons related to the debtor's financial difficulties grants a concession to the debtor that it would not otherwise consider.
-----------------------------	--

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.
Treasury_HQ@Hilton.com	The e-mail represents the Treasury contact address. All new debt documents should be sent to Treasury for its review.